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China Equity Strategy | Asia Pacific

1Q26 A-share Earnings Final Cut – Misses Narrowing, Early Signs of Improvements

MSCI China-A 1Q26 earnings show early signs of improvement – net misses narrowed significantly by company count, with weighted surprise broadly in line. Industrials and Financials led; downstream Consumption still lags. Earnings set-up should turn more favourable after summer.

The A-share final cut earnings review is based on 69% of MSCI China A Onshore index market cap (what we consider as quality data with consensus estimates available), with the following takeaways.

MSCI China A-shares 1Q26 still recorded a net miss, but the magnitude improved significantly from 4Q25: Earnings missed consensus by number of companies (-12.5%), while weighted surprise came in broadly in line (+0.3%), a marked improvement from 4Q25 (-23.2% and -3.4%, respectively) ([Exhibit 1](#), [Exhibit 2](#)).

Revenue also posted a net miss by company count (-17.5%), although weighted surprise was in line (+0.8%), largely tracking the 4Q25 pattern of -14.9% and -2.4%, respectively ([Exhibit 7](#)).

Bright spots in Financials and Industrials, while downstream Consumption still lags: [Industrials](#) reported broadly in-line 1Q26 results, improving from a net miss by number of companies in 4Q25. A supportive capex cycle is driving solid demand across capital goods sub-sectors – AIDC equipment, battery equipment and automation/robotics – while CM/HDT demand is also gaining traction, reinforcing our expectation of China's [growing export market share](#). Our industrial team expects this growth momentum to carry into 2Q26, underpinned by healthy order intake and ongoing capacity expansion. Leading players demonstrated sufficient pricing power to push through price hikes, partially offsetting higher input costs (including raw materials and memory), though FX headwinds are likely to linger into 2Q26, albeit at a reduced magnitude. [China banks](#) reported a strong rebound in revenue growth, supported by NIM recovery and healthy fee income growth. In contrast, downstream consumption still lags, weighed down by weak domestic demand and limited pricing power to pass through costs – both Consumer Discretionary and Consumer Staples reported a double miss by number of companies and weighted surprise. **The earnings set-up may look more favorable when 2Q results** come out starting July, as several tailwinds converge: 1) strong export growth and early deflation signs boosting the top line; 2) e-commerce regulatory tightening announced in April fostering a more rational competitive landscape.

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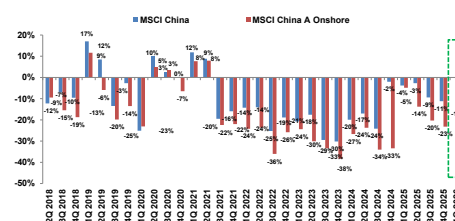
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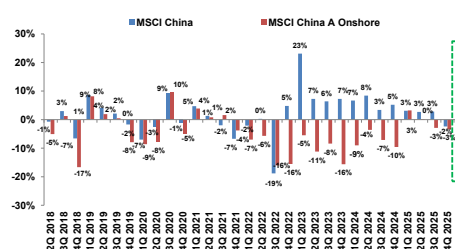
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Exhibit 1 : History of Chinese equity market quarterly earnings surprises by number of companies (MSCI China and A-shares) – MSCI China A-shares recorded a 13% net miss in 1Q26, significantly improved vs. 4Q25



Source: MSCI, Bloomberg, RIMES, Factset, Morgan Stanley Research. Data as of May 7, 2026.

Exhibit 2 : History of Chinese equity market quarterly earnings surprises by weighted surprise (MSCI China and A-shares) – MSCI China A-shares reported in-line results at +0.3% in 1Q26, slightly improved vs. 4Q25



Source: MSCI, Bloomberg, RIMES, Factset, Morgan Stanley Research. Data as of May 7, 2026.

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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

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A-share Earnings Surprises 1Q26 Final Cut: Misses Narrowing, Weighted Surprise in Line

Note: We use constituents of MSCI China A Onshore Index as a proxy for the A-share stock universe. As of May 7, 2026, 471 companies in MSCI China A Onshore had reported 1Q26 results. Our analysis of A-share earnings surprises is based on constituent companies that have reasonable quality data for consensus estimates, comprising 287 companies in MSCI China A Onshore, representing 51% of the index by number of companies and 69% by index weight.

Key observations

1) At the aggregate index level, reported earnings missed consensus by number of companies (-12.5%) but were broadly in line on a weighted basis (+0.3%) (Exhibit 4) improving from 4Q25 (-23% by number of companies and -3% by weighted surprise).

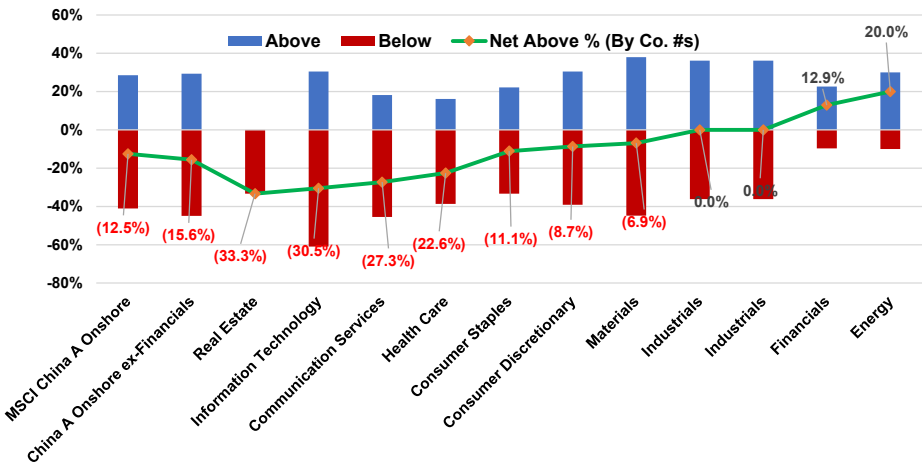
2) Sectors with earnings beats:

- Energy, Financials, Materials and Utilities reported a net beat by either weighted surprise or number of companies.
- Key contributors are [Ping An Insurance](#), [Bank of China](#), [Anhui Conch Cement](#), [Beijing Oriental Yuhong](#), [China Yangtze Power](#).

3) Sectors with earnings misses:

- Consumer Discretionary, Consumer Staples and Real Estate showed a net miss by both number of companies and weighted surprise. Key companies include [BYD](#), [Muyuan Foodstuff](#), [China Merchants Shekou](#).
- Communication Services, Healthcare, IT showed a net miss by number of companies, while in-line results by weighted surprise. Key companies are [Pharmaron](#), [OmniVision](#).

Exhibit 3: MSCI China A Onshore sector-level earnings surprises for 1Q26 by number of companies – 13% net miss at the aggregate level; seven out of 11 sectors posted a net miss



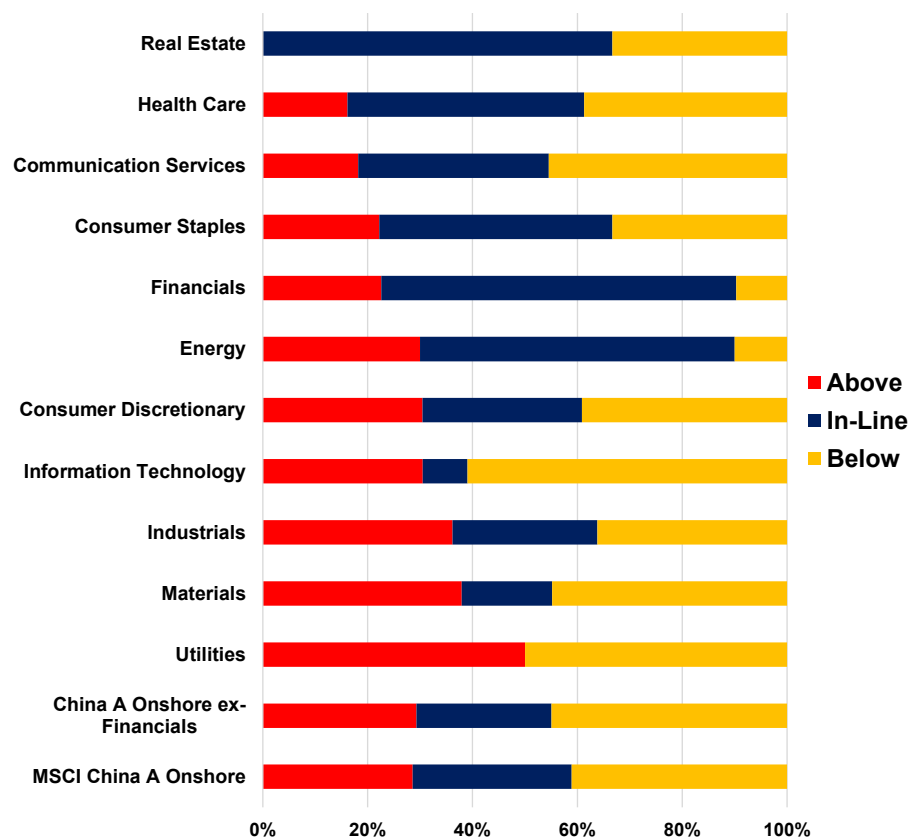
Source: MSCI, Bloomberg, RIMES, Factset, Morgan Stanley Research. Data as of May 7, 2026.

Exhibit 4: MSCI China A Onshore detailed sector- and industry-level 1Q26 earnings – net miss by number of companies and in-line results by weighted surprise

Earnings				Surprise Ratios				
Sector/ Industry Group	# of Cos. Reported	% of Cos. Reported	% Mkt Cap reported	Above	In-Line	Below	Net +ve	Market Cap Wtd Surprise (%)
China	287	51%	69%	29%	30%	41%	(12.5%)	0.3%
China ex-Financials	256	52%	68%	29%	26%	45%	(15.6%)	0.0%
Communication Services	11	65%	75%	18%	36%	45%	(27.3%)	(4.4%)
Media & Entertainment	8	57%	63%	13%	38%	50%	(37.5%)	(5.1%)
Telecommunication Services	3	100%	100%	33%	33%	33%	0.0%	(3.4%)
Consumer Discretionary	23	58%	72%	30%	30%	39%	(8.7%)	(13.3%)
Automobiles & Components	13	57%	70%	23%	31%	46%	(23.1%)	(22.1%)
Consumer Durables & Apparel	7	70%	85%	43%	29%	29%	14.3%	0.7%
Consumer Services	1	50%	55%	100%	0%	0%	100.0%	18.2%
Consumer Discretionary Distribution & Retail	2	40%	56%	0%	50%	50%	(50.0%)	(1.0%)
Consumer Staples	18	72%	91%	22%	44%	33%	(11.1%)	(8.3%)
Consumer Staples Distribution & Retail	1	50%	30%	0%	100%	0%	0.0%	(0.0%)
Food Beverage & Tobacco	16	73%	92%	25%	38%	38%	(12.5%)	(8.4%)
Household & Personal Products	1	100%	100%	0%	100%	0%	0.0%	(1.6%)
Energy	10	67%	85%	30%	60%	10%	20.0%	(0.1%)
Coal & Consumable Fuels	5	71%	88%	60%	40%	0%	60.0%	4.8%
Integrated Oil & Gas	2	67%	91%	0%	100%	0%	0.0%	(1.3%)
Oil & Gas Exploration & Production	3	100%	100%	0%	67%	33%	(33.3%)	(9.4%)
Oil & Gas Refining & Marketing	0	-	-	-	-	-	-	-
Others	0	0%	0%	-	-	-	-	-
Financials	31	42%	73%	23%	68%	10%	12.9%	1.3%
Banks	17	59%	81%	0%	100%	0%	0.0%	0.7%
Financial Services	10	25%	48%	60%	10%	30%	30.0%	2.9%
Insurance	4	80%	94%	25%	75%	0%	25.0%	2.0%
Health Care	31	66%	78%	16%	45%	39%	(22.6%)	1.6%
Pharmaceuticals Biotechnology & Life Science	21	58%	71%	19%	43%	38%	(19.0%)	2.4%
Health Care Equipment & Services	10	91%	95%	10%	50%	40%	(30.0%)	(0.2%)
Industrials	47	47%	66%	36%	28%	36%	0.0%	1.7%
Capital Goods	39	47%	65%	33%	31%	36%	(2.6%)	0.4%
Commercial & Professional Services	1	33%	16%	100%	0%	0%	100.0%	21.1%
Transportation	7	54%	74%	43%	14%	43%	0.0%	9.0%
Information Technology	82	57%	70%	30%	9%	61%	(30.5%)	2.9%
Semiconductors & Semiconductor Equipment	38	63%	66%	37%	0%	63%	(26.3%)	24.1%
Software & Services	7	41%	46%	29%	0%	71%	(42.9%)	(18.6%)
Technology Hardware & Equipment	37	54%	77%	24%	19%	57%	(32.4%)	(7.9%)
Materials	29	35%	49%	38%	17%	45%	(6.9%)	5.2%
Chemicals	16	41%	56%	44%	6%	50%	(6.3%)	11.0%
Construction Materials	3	100%	100%	100%	0%	0%	100.0%	30.3%
Metals & Mining	10	26%	40%	10%	40%	50%	(40.0%)	(4.4%)
Others	0	-	-	-	-	-	-	-
Paper & Forest Products	0	0%	0%	-	-	-	-	-
Real Estate	3	38%	49%	0%	67%	33%	(33.3%)	(35.8%)
Utilities	2	13%	49%	50%	0%	50%	0.0%	16.2%

Source: MSCI, Bloomberg, RIMES, Factset, Morgan Stanley Research. Data as of May 7, 2026. For a given sector/industry group, "Market Cap Wtd Surprise (%)" is calculated as sum of products of stock level earnings beat / miss % and index weight of the stock in MSCI China divided by % of market cap reported within the given sector/industry group.

Exhibit 5: MSCI China A Onshore 1Q26 earnings surprises by sector, measured by number of companies



Source: MSCI, Bloomberg, RIMES, Factset, Morgan Stanley Research. Data as of May 7, 2026.

A-share Revenue Surprises 1Q26 Final Cut: Net Misses by Company Count, Mostly in Line with 4Q25

Note: We use constituents of MSCI China A Onshore Index as a proxy for the A-share stock universe. As of May 7, 2026, 471 companies in MSCI China A Onshore had reported 4Q25 results. Our analysis of A-share revenue surprises is based on non-financial constituent companies that have reasonable quality data for consensus estimates, comprising 189 companies in MSCI China A Onshore, representing 38% of the index by number of companies and 46% by index weight.

Key observations

1) At the aggregate index level, reported revenue missed consensus by number of companies (-17.5%) and was in line by weighted surprise (+0.8%), largely in line with 4Q25 trend (-14.9% by number of companies and -2.4% by weighted surprise).

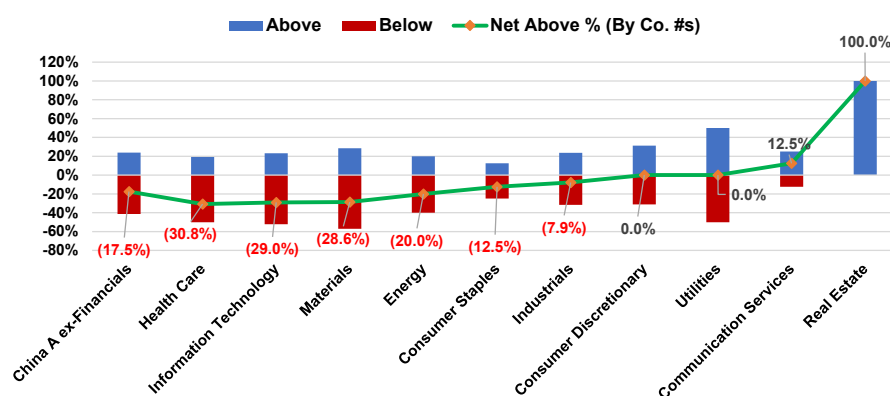
2) Sector-level beats:

- Communication Services and Real Estate recorded net beats.

3) Sector-level misses:

- Consumer Staples, Energy, Healthcare, Industrials, IT and Materials recorded net misses.

Exhibit 6: MSCI China A Onshore sector-level (ex-financials) revenue surprises for 1Q26 by number of companies – 18% net miss at the aggregate level; six out of 10 sectors posted a net miss



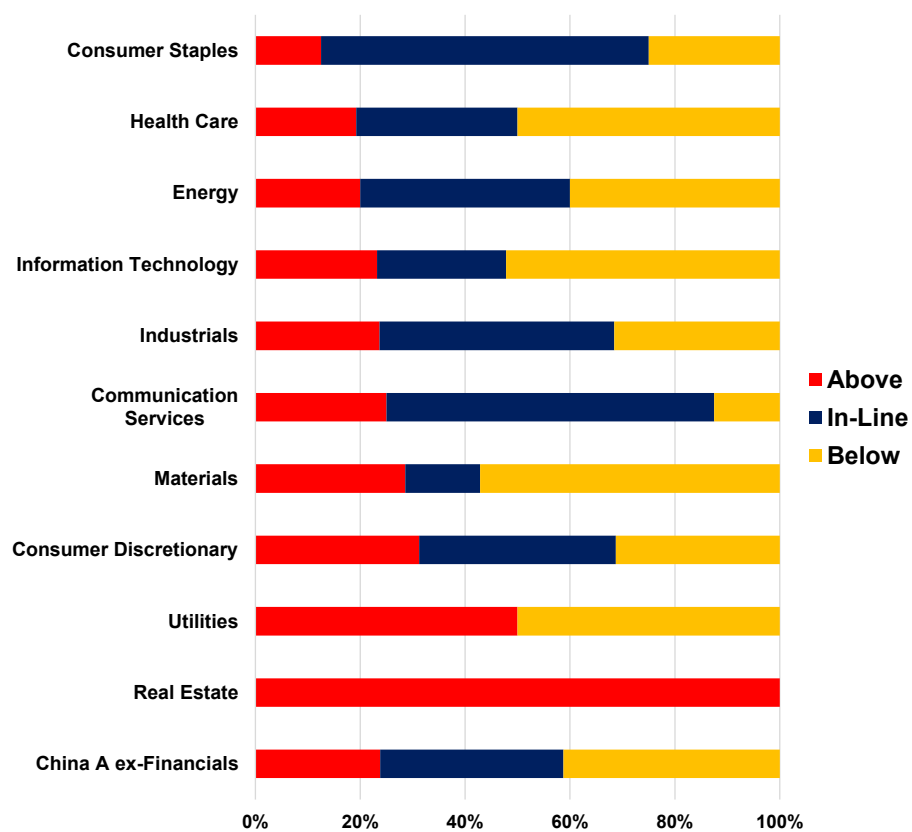
Source: MSCI, Bloomberg, RIMES, Factset, Morgan Stanley Research. Data as of May 7, 2026.

Exhibit 7: MSCI China A Onshore detailed sector- and industry-level (ex-financials) 1Q26 revenue – Net misses by number of companies and in line by weighted surprise, similar trend vs. 3Q25

Revenue				Surprise Ratios				
Sector/ Industry Group	# of Cos. Reported	% of Cos. Reported	% Mkt Cap reported	Above	In-Line	Below	Net +ve	Market Cap Wtd Surprise (%)
China A ex-Financials	189	38%	46%	24%	35%	41%	(17.5%)	0.8%
Communication Services	8	47%	64%	25%	63%	13%	12.5%	0.5%
Media & Entertainment	5	36%	46%	40%	40%	20%	20.0%	1.1%
Telecommunication Services	3	100%	100%	0%	100%	0%	0.0%	(0.1%)
Consumer Discretionary	16	40%	63%	31%	38%	31%	0.0%	2.4%
Automobiles & Components	9	39%	60%	22%	33%	44%	(22.2%)	1.0%
Consumer Durables & Apparel	5	50%	77%	40%	40%	20%	20.0%	2.8%
Consumer Services	1	50%	55%	0%	100%	0%	0.0%	3.1%
Consumer Discretionary Distribution & Retail	1	20%	46%	100%	0%	0%	100.0%	12.0%
Consumer Staples	16	64%	85%	13%	63%	25%	(12.5%)	(1.4%)
Consumer Staples Distribution & Retail	1	50%	30%	0%	100%	0%	0.0%	(5.0%)
Food Beverage & Tobacco	14	64%	85%	14%	64%	21%	(7.1%)	(1.4%)
Household & Personal Products	1	100%	100%	0%	0%	100%	(100.0%)	(7.3%)
Energy	5	33%	46%	20%	40%	40%	(20.0%)	(0.3%)
Coal & Consumable Fuels	1	14%	36%	0%	0%	100%	(100.0%)	(6.0%)
Integrated Oil & Gas	1	33%	38%	0%	100%	0%	0.0%	1.2%
Oil & Gas Exploration & Production	3	100%	100%	33%	33%	33%	0.0%	3.9%
Oil & Gas Refining & Marketing	0	-	-	-	-	-	-	-
Others	0	0%	0%	-	-	-	-	-
Health Care	26	55%	72%	19%	31%	50%	(30.8%)	(0.3%)
Pharmaceuticals Biotechnology & Life Sciences	17	47%	65%	24%	24%	53%	(29.4%)	0.8%
Health Care Equipment & Services	9	82%	90%	11%	44%	44%	(33.3%)	(2.3%)
Industrials	38	38%	59%	24%	45%	32%	(7.9%)	2.4%
Capital Goods	30	36%	58%	27%	37%	37%	(10.0%)	2.1%
Commercial & Professional Services	1	33%	16%	0%	100%	0%	0.0%	4.2%
Transportation	7	54%	71%	14%	71%	14%	0.0%	3.5%
Information Technology	69	48%	65%	23%	25%	52%	(29.0%)	1.8%
Semiconductors & Semiconductor Equipment	30	50%	57%	30%	17%	53%	(23.3%)	8.0%
Software & Services	7	41%	46%	14%	29%	57%	(42.9%)	(5.5%)
Technology Hardware & Equipment	32	47%	73%	19%	31%	50%	(31.3%)	(0.9%)
Materials	7	9%	20%	29%	14%	57%	(28.6%)	(9.3%)
Chemicals	6	15%	24%	33%	17%	50%	(16.7%)	(6.6%)
Construction Materials	0	0%	0%	-	-	-	-	-
Metals & Mining	1	3%	18%	0%	0%	100%	(100.0%)	(12.1%)
Others	0	-	-	-	-	-	-	-
Paper & Forest Products	0	0%	0%	-	-	-	-	-
Real Estate	2	25%	39%	100%	0%	0%	100.0%	38.5%
Utilities	2	13%	15%	50%	0%	50%	0.0%	(4.3%)

Source: MSCI, Bloomberg, RIMES, Factset, Morgan Stanley Research. Data as of May 7, 2026. For a given sector/industry group, "Market Cap Wtd Surprise (%)" is calculated as sum of products of stock level revenue beat / miss % and index weight of the stock in MSCI China A Onshore divided by % of market cap reported within the given sector/industry group.

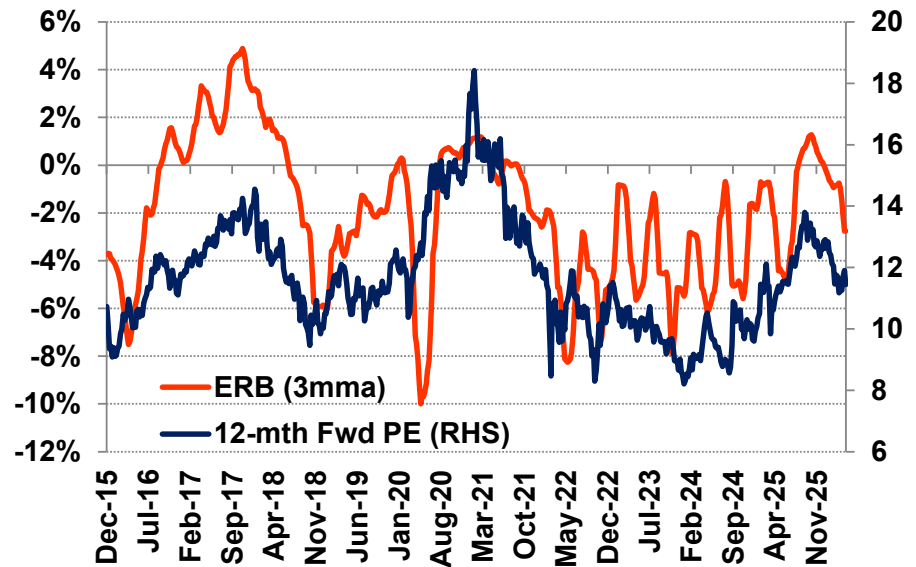
Exhibit 8: MSCI China A Onshore 1Q26 revenue surprise by sector, measured by number of companies



Source: MSCI, Bloomberg, RIMES, Factset, Morgan Stanley Research. Data as of May 7, 2026.

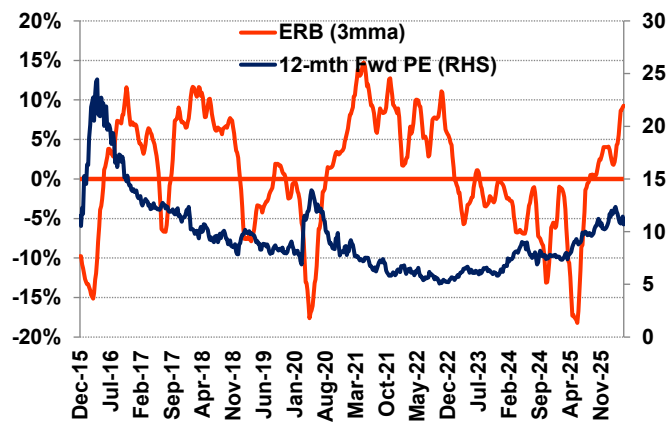
Earnings Estimate Revisions – Long-term Trends

Exhibit 9: MSCI China earnings estimate revision breadth (ERB) vs. 12-month P/E trend – acceleration of downward momentum has resumed since mid-March



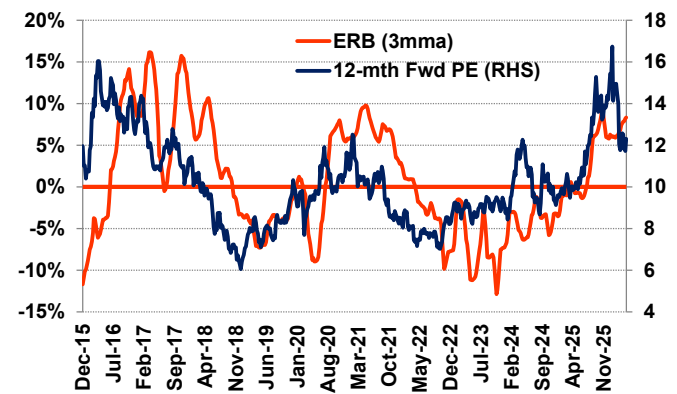
Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

Exhibit 10: Energy – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend

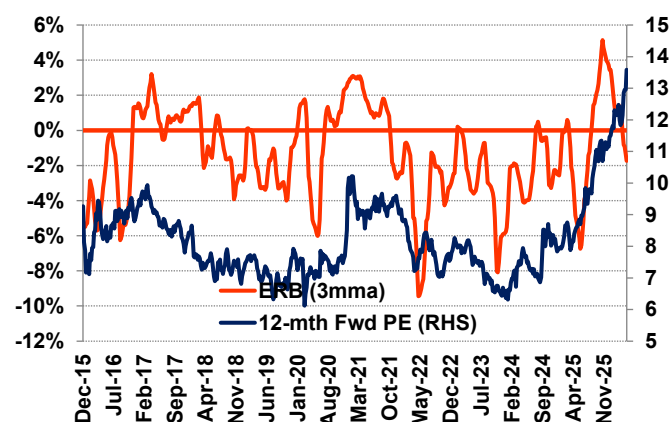


Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

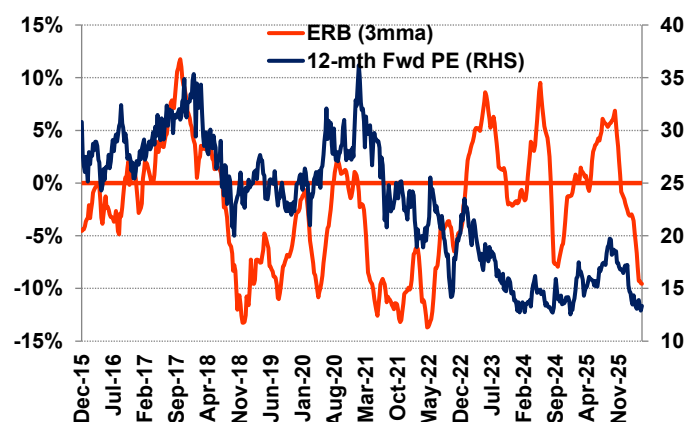
Exhibit 11: Materials – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend



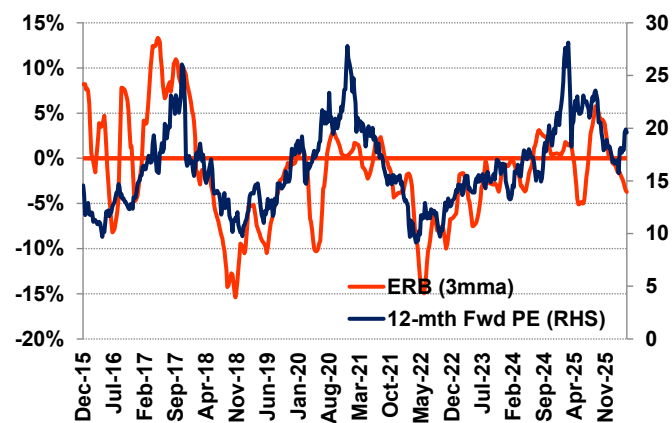
Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

Exhibit 12: Capital Goods – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend

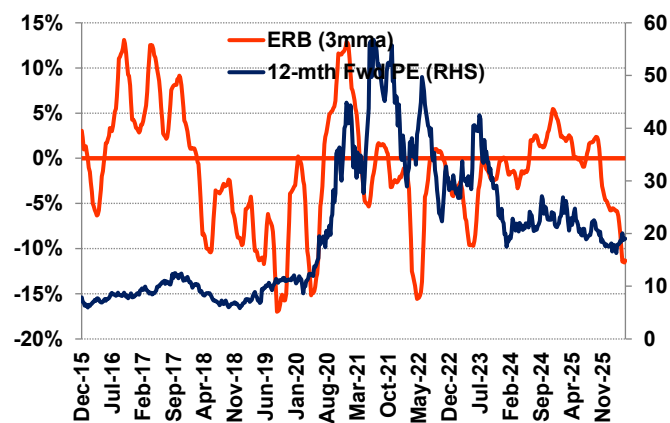
Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

Exhibit 13: Media & Entertainment – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend

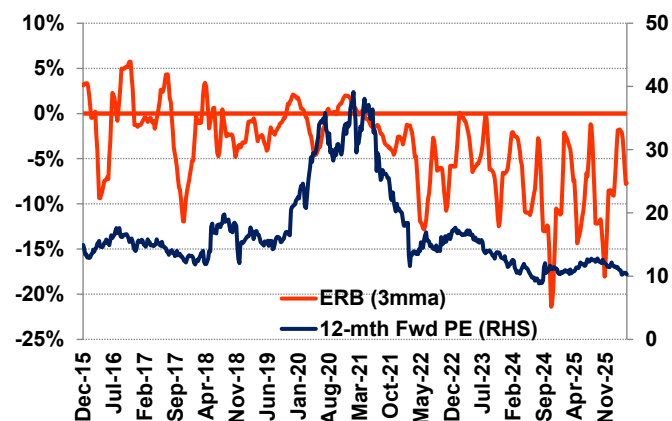
Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

Exhibit 14: Tech Hardware – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend

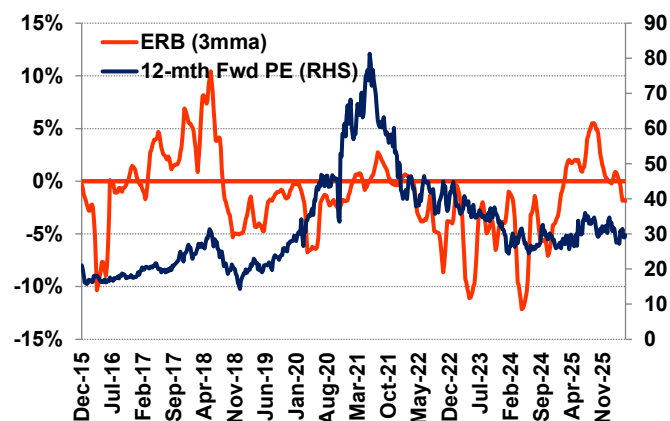
Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

Exhibit 15: Auto – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend

Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

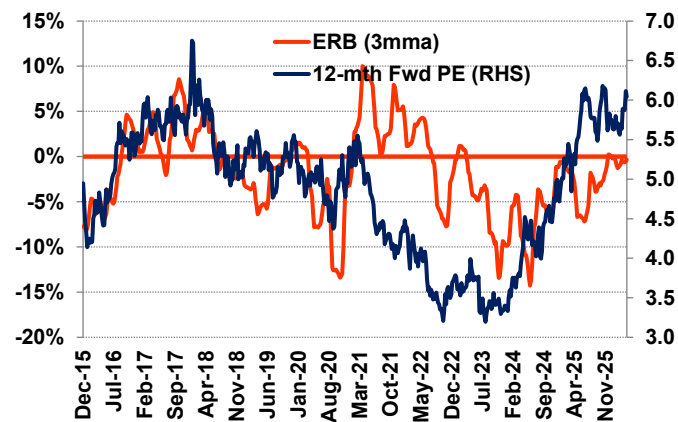
Exhibit 16: Healthcare – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend

Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

Exhibit 17: Pharma – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend

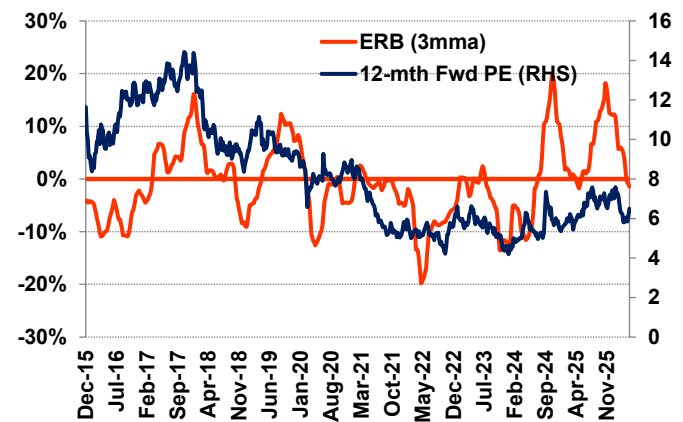
Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

Exhibit 18: Banks – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend



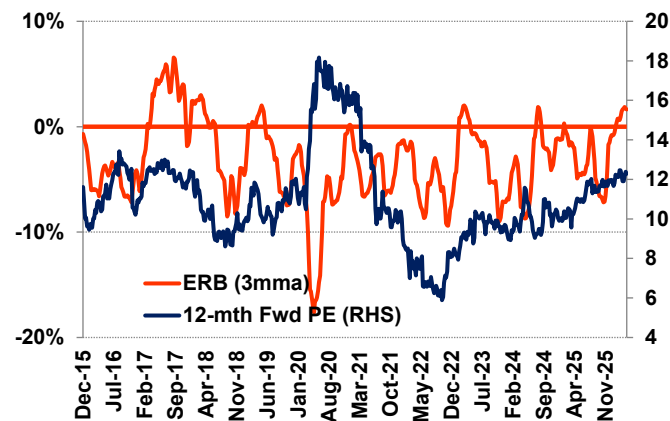
Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

Exhibit 19: Insurance – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend



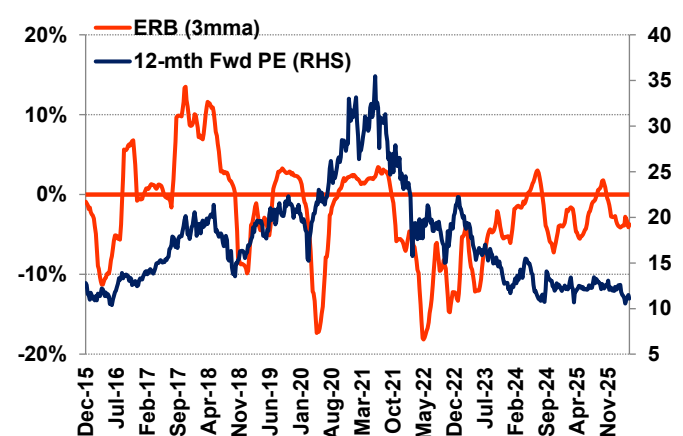
Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

Exhibit 19: Transportation – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend



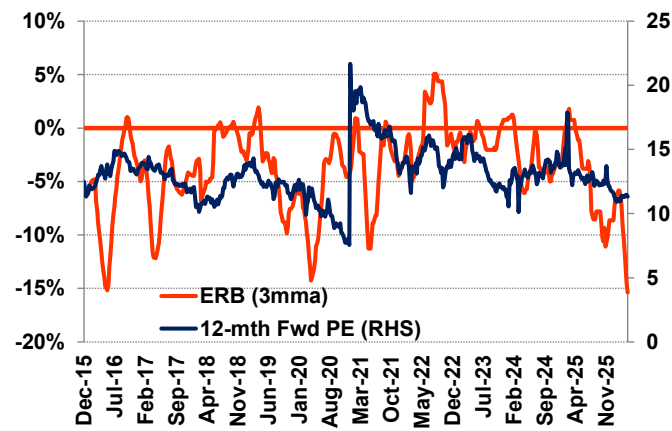
Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

Exhibit 20: Consumer Durables – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend



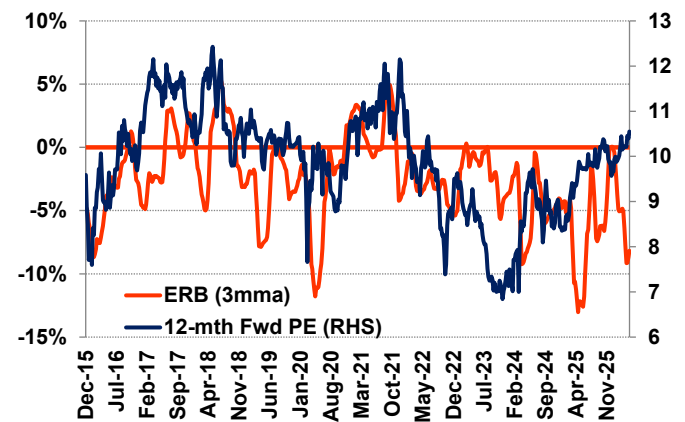
Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

Exhibit 21: Telecom – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend



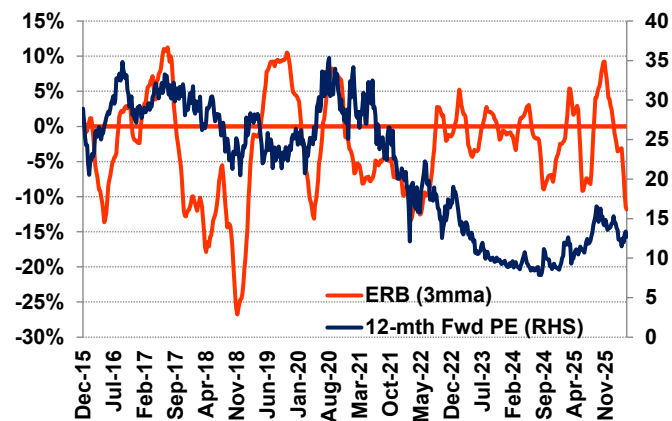
Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

Exhibit 22: Utilities – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend



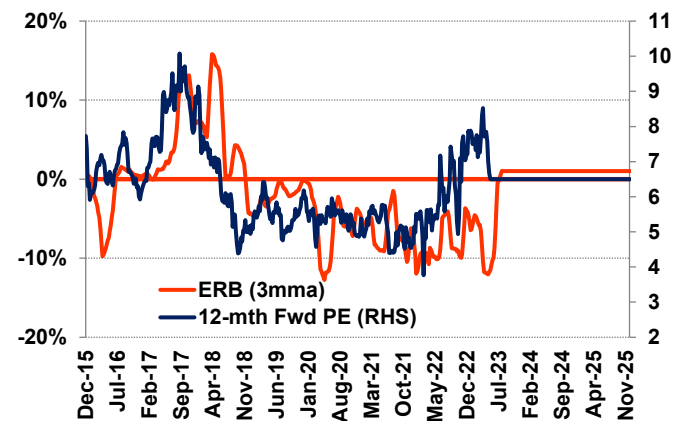
Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

Exhibit 23: Retailing – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend



Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

Exhibit 24: Real Estate – Earnings estimate revision breadth (ERB) vs. 12-month P/E trend



Source: IBES, Rimes, MSCI, Morgan Stanley Research. Weekly data as of May 7, 2026. Earnings Estimate Revision Breadth (ERB) = (number of upward revisions - number of downward revisions) / total number of estimates.

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(as of April 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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